Supersession and Suspension of Board and Interim Management: No board shall be superseded or kept under suspension for a period exceeding six months.[5] The board may be superseded or kept under suspension in case

1. Of its persistent default
2. Of negligence in the performance of its duties
3. Of committing any act prejudicial to the interests of the co-operative society or its members
4. Of there being a stalemate in the constitution or functions of the board
5. Of the election body having failed to conduct elections in accordance with the provisions of the State Act.

However, the board of any such co-operative society shall not be superseded or kept under suspension where there is no Government shareholding or loan or financial assistance or any guarantee by the Government.

In case of supersession of a board, the administrator appointed to manage the affairs of such a co-operative society shall arrange for conduct of elections within the period of six months and hand over the management to the elected board.

Audit of Accounts of Co-operative Societies: The state legislature may make provisions for the maintenance of accounts by the co-operative societies and the auditing of such accounts at least once in each financial year. It shall lay down the minimum qualifications and experience of auditors and auditing firms that shall be eligible for auditing the accounts of the co-operative societies.

Every co-operative society shall be audited by an auditor or auditing firm, appointed by the general body of the co-operative society. But, such an auditor or auditing firm shall be appointed from a panel approved by the State Government or a body authorised by the State Government on this behalf.

The accounts of every co-operative society shall be audited within six months of the close of the financial year.

The audit report of the accounts of an apex co-operative society shall be laid before the state legislature.

Convening of General Body Meetings: The state legislature may provide that the annual general body meeting of every co-operative society shall be convened within a period of six months of the close of the financial year.

Right of a Member to Get Information: The state legislature may provide for access to every member of a co-operative society to the books, information and accounts of the co-operative society. It may also make provisions to ensure the participation of members in the management of the co-operative society. Further, it may provide for co-operative education and training for its members.

Returns: Every co-operative society shall file returns, within six months of the close of every financial year, to the authority designated by the State Government. These returns shall include the following matters:

1. Annual report of its activities